

MORNING BRIEFING

Monday, 28 September 2026 | Generated 06:45 London time (BST) | European pre-open

2. IMPORTANT NEWS

Trump rejects Iran's Strait of Hormuz proposal — Bloomberg, NPR, Washington Post (26 Sep). Iran had offered to reopen the strait in seven days in exchange for lifted sanctions and a ceasefire; Trump turned it down. Keeps the Gulf risk premium in oil and equities front and centre this week.

Global bond yields hit multi-decade highs — market data, weekend wires. Average yield on a global bond gauge broke above 4% for the first time since 2007; German 10Y Bund at 3.58%, its highest since mid-2009. Fed officials flagged that a resilient labour market could justify more tightening.

Brent surges past \$105, WTI near \$94 — Trading Economics. Crude jumped over 1.3-1.8% as the Hormuz rejection revives supply-disruption fears just as inflation expectations were stabilising.

Microsoft to merge consumer and enterprise Copilot — CNBC. Announced alongside a broader AI-driven rally last week (Microsoft +3.7% Friday, Meta +12% on the week after its Muse AI agent hardware launch). Keeps AI monetisation as the dominant US equity theme.

Rio Tinto-Glencore merger talks continue — Bloomberg, Mining.com. Sector-reshaping tie-up remains live; copper trading near record highs (\$6.70-6.80/lb) on electrification and AI-driven demand, keeping European miners in focus.

3. EUROPEAN FUTURES (PRE-OPEN)

FUTURE	LEVEL	IMPLIED MOVE	COLLECTED
Euro Stoxx 50	~6,259	Soft open, session range 6,253-6,343	~06:00 GMT
DAX	~25,492	+0.3% vs Friday close (25,408.64)	~06:00 GMT
CAC 40	~8,062	-0.2% vs Friday close (8,077.80)	~06:00 GMT
FTSE 100	n/a	n/a	—
S&P 500 futures (US, context)	n/a exact level	-0.4% early (06:00 GMT, CNBC)	~06:00 GMT
Nasdaq-100 futures (US, context)	n/a exact level	-0.7% early (06:00 GMT, CNBC)	~06:00 GMT

US futures readings were choppy overnight — later snapshots from secondary sources showed a partial reversal to positive territory; treat the early-morning CNBC read as the more reliable pre-open signal given source quality. Oil and the Hormuz headlines are the swing factor.

4. YESTERDAY'S CLOSSES — EUROPEAN INDICES (FRIDAY, 25 SEPTEMBER 2026)

INDEX	CLOSE	CHANGE
Euro Stoxx 50	n/a	n/a
DAX	25,408.64	+0.56%
CAC 40	8,077.80	-0.04%
FTSE 100	10,695.25	+0.14%

Friday's rebound was driven by a pullback in crude that briefly eased fears the Middle East conflict would produce another inflation shock — a move partly unwound over the weekend by the Hormuz headline.

5. US MARKETS — YESTERDAY'S SESSION (FRIDAY, 25 SEPTEMBER 2026)

INDEX	CLOSE	CHANGE
S&P 500	7,741.83	+0.49%
Dow Jones Industrial Average	51,828.59	+0.93%
Nasdaq Composite	27,068.72	+0.48%

Tone: Risk-on into the weekend, capping a winning week (S&P +0.6%, Nasdaq 100 +2.1%; Dow -103pts on the week despite Friday's gain).

Leading sectors: Semiconductor equipment (Applied Materials +2.3%, Lam Research +2.6%); hyperscalers (Microsoft +3.7% on the Copilot-merger news, Alphabet +0.6%); Meta +12% on the week after its Muse AI agent hardware launch, though it fell 3.3% Friday on profit-taking.

Key takeaway: AI capex and monetisation stories continued to dominate leadership even as short-dated Treasury yields climbed on hawkish Fed commentary — a combination that leaves the tape vulnerable to a yield or oil shock, which is exactly what hit over the weekend.

6. ASIAN MARKETS — OVERNIGHT SESSION (MONDAY, 28 SEPTEMBER 2026)

INDEX	LEVEL	CHANGE
Nikkei 225	66,333.53	~flat (-0.1%)
Hang Seng	24,684.09	+0.7%
Shanghai Composite	3,820.82	-1.7%
Kospi	6,916.30	-2.3%

Tone: Mixed-to-risk-off. Mainland China and the chip-heavy Kospi underperformed on the oil spike and the global bond selloff; Hong Kong bucked the trend while Tokyo traded close to flat. Overall, Asia reflects the same yields-and-oil anxiety driving European futures lower.

7. COMMODITIES

COMMODITY	LEVEL	CHANGE	COLLECTED
Brent crude	\$105.76/bbl	+1.38%	28 Sep
WTI crude	\$94.10/bbl	+1.83%	28 Sep
Gold	~\$4,270/oz	-2% on the week	Fri 25 Sep close
Natural gas	n/a	n/a	—
Copper (COMEX)	~\$6.70/lb	-0.34%, near record \$6.80	25 Sep

Oil is the standout move: the Hormuz rejection reverses Friday's relief rally and puts crude back near the top of its 2026 range. Gold's weekly decline reflects a stronger dollar and surging Treasury yields rather than reduced geopolitical hedging demand. Copper stays firm near records on electrification/AI demand and Rio Tinto-Glencore merger speculation.

8. RATES & FX

INSTRUMENT	LEVEL	MOVE	COLLECTED
US 10Y Treasury yield	~5.18-5.21%	Rising (widening)	28 Sep, ~06:00 GMT
German 10Y Bund yield	3.58%	Highest since mid-2009	28 Sep
EUR/USD	1.1385	n/a vs prior close	28 Sep
GBP/USD	1.32197	Stale — last confirmed 24 Sep	24 Sep
DXY (dollar index)	101.11	+0.08%	28 Sep, Asia session

Short-dated Treasuries are leading the selloff (2Y +5bp to 4.90%) on hawkish Fed rhetoric, while Bunds are pricing further ECB tightening as oil-driven inflation risk resurfaces. The dollar is broadly firm (+1.70% over the past month, +3.28% over 12 months) ahead of this week's US payrolls.

9. DCM — PRIMARY BOND MARKET

YESTERDAY'S ISSUANCES

n/a — no deal-level pricing (issuer, size, maturity, coupon/spread) could be reliably sourced for Friday's session via web search. European primary markets are typically quiet on Fridays; no confirmed IG, HY, SSA or financials prints identified.

PIPELINE / EXPECTED TODAY

n/a — no specific mandated deals identified for today or this week from available sources. Context: SSA issuers have shown a pattern of frontloading funding needs in 2026; euro corporate issuance overall is running at record volume (above \$1.5tn YTD), driven heavily by AI-capex-linked hyperscaler credits.

KEY SPREADS

INDEX	LEVEL	DIRECTION	COLLECTED
iTraxx Main	n/a live level	EST. +5.7BP ON SEP ROLL	Barclays est., pre-roll
iTraxx Crossover	~318-353bps (stale range)	n/a live direction	Mid-2026 data points
CDX IG	n/a live level	EST. +8.1BP ON SEP ROLL	Barclays est., pre-roll
Avg. Euro corporate IG spread (proxy: US IG OAS)	~79-81bps	Broadly stable	24 Sep
US HY OAS (proxy)	~280bps	Broadly stable	Late Sep

COMMENTARY

No live index levels could be confirmed for today; directional signal points to modest widening pressure into the September CDX/iTraxx roll (Barclays estimates), compounded by the weekend's oil and yield shock. Spreads remain historically tight by 2026 standards, but the combination of record issuance volume, multi-decade-high yields and renewed Middle East risk argues for a more cautious primary tone this week, particularly for energy-sensitive and lower-rated credits. The window likely stays open for high-grade financials and industrials; expect issuers to move early in the week to get ahead of any further volatility.

10. ECONOMIC CALENDAR — TODAY (MONDAY, 28 SEPTEMBER 2026)

TIME (LONDON)	INDICATOR	CONSENSUS	IMPORTANCE
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No top-tier scheduled releases identified for the Eurozone, UK or US today.

Week ahead: Wed — German retail sales, German CPI, US ADP employment, US Q2 GDP (final), US PCE **HIGH**. Fri — US September payrolls **HIGH**, Eurozone flash HICP (consensus 3.5% y/y, highest since Sep 2023) **HIGH**. Tue — China official September PMIs, Australia August CPI **MEDIUM**.

11. CORPORATE EVENTS & EARNINGS

Approximately 31 companies are scheduled to report earnings today per Yahoo Finance's calendar; specific large-cap names could not be confirmed via available sources. n/a for individual tickers.

No major European AGMs or scheduled corporate events identified for today from available sources.

12. STOCKS TO WATCH

COMPANY	REASON	PROBABLE DIRECTION
Delta Air Lines / American Airlines / United Airlines	Higher jet fuel costs from the Brent/WTI spike following the Hormuz rejection	Negative
Frontline / Torm / Star Bulk Carriers	Tanker/freight rate optionality from Hormuz-driven oil volatility	Mixed/Positive
Rio Tinto / Glencore	Ongoing merger talks; copper near record highs	Positive
RTX / Lockheed Martin / GE Aerospace / Rocket Lab	Geopolitical risk premium keeps defense names bid	Positive
ExxonMobil / Valero Energy / Cheniere Energy	Direct beneficiaries of the oil and LNG price spike	Positive
Microsoft	Copilot consumer/enterprise merger announcement	Positive
Meta	Post-Muse AI agent rally cooling after +12% weekly gain; Friday profit-taking (-3.3%)	Mixed/Negative near-term
European banks	No specific names sourced; higher global yields broadly support NII expectations	n/a

13. MACRO / CORPORATE / POLITICAL HIGHLIGHTS

MACRO

Fed officials signal resilient growth and a strong labour market may justify further tightening.

Global bond yield gauge above 4% for the first time since 2007; German Bund 10Y at its highest since mid-2009.

Eurozone flash HICP inflation forecast to accelerate to 3.5% y/y (due Friday), core seen at 2.6%.

CORPORATE

Microsoft to merge its consumer and workplace Copilot AI assistants into a single enterprise product.

Meta shares +12% on the week following its Muse AI agent hardware launch, before -3.3% Friday profit-taking.

Rio Tinto-Glencore merger discussions continue; J.P. Morgan overweight on Rio Tinto, neutral on Glencore.

POLITICAL / GEOPOLITICAL

Trump rejects Iran's proposal to reopen the Strait of Hormuz and restart peace talks; Iran awaiting a "definitive" US response.

2026 Strait of Hormuz crisis remains active since the US-Israel-Iran conflict began 28 February; risk of renewed fighting keeps an oil-supply risk premium in place.

14. KEY THEMES — TOP 5 BY HORIZON

TODAY'S TOP 5

Hormuz standoff — Trump's rejection keeps headline risk elevated intraday.

Oil direction — Brent above \$105; a key input for inflation and central bank rhetoric.

Global yield surge — US 10Y ~5.2%, Bund 3.58%, pressuring equity valuations.

AI/tech leadership — Microsoft's Copilot consolidation, Meta's AI momentum after last week's rally.

Rio Tinto-Glencore M&A — mining sector re-rating on merger talk and copper strength.

THIS WEEK'S TOP 5

US September payrolls (Fri) — pivotal for the Fed's tightening path.

Eurozone flash HICP (Fri) — forecast to hit 3.5%, highest since Sep 2023.

US ADP, Q2 GDP final, PCE (midweek) — cross-check on labour and inflation trends.

German retail sales & CPI (Wed) — early read on Eurozone inflation direction.

China PMIs, Australia CPI (Tue) — global growth and inflation cross-check.

THIS MONTH'S TOP 5

Strait of Hormuz crisis trajectory — direct line to oil supply and global inflation.

Fed/ECB policy path — both central banks facing renewed energy-driven inflation pressure.

AI capex cycle sustainability — over \$1.5tn in 2026 corporate issuance tied to hyperscaler spending.

Rio Tinto/Glencore mega-merger process — potential sector-reshaping mining deal.

CDX/iTraxx September roll — repricing of credit index spreads and relative value.

15. KEY TRENDS TO WATCH

1 DAY

Oil-price headlines out of the Gulf, any further Iran/US statements, and how equity futures digest the multi-decade-high yield backdrop.

1 WEEK

Friday's US payrolls and Eurozone flash inflation; Fed speaker commentary on the case for further tightening.

1 MONTH

Trajectory of the Middle East conflict; whether the global bond yield regime (multi-decade highs) persists; sustainability of AI-capex-driven credit issuance; progress of the Rio Tinto-Glencore deal.

Sources: Bloomberg, Reuters/Trading Economics, CNBC, NPR, Washington Post, Al Jazeera, Yahoo Finance, FRED (St. Louis Fed), Investing.com, Barchart, GlobalCapital, Mining.com, Morningstar, Defense World / Trading Strategy Guides, Barclays research (via Macrostream).

Data collected automatically. Verify before making any decision.